Advisor Compliance Guidelines

Advisor Relations and Compliance — Reference ARC-ACG-003 | *Version 1.8*

1. Advisor Responsibilities Overview

Financial advisors are the first line of defense in detecting and preventing financial crime. Advisors have direct relationships with clients and are uniquely positioned to identify unusual behavior, inconsistencies in client profiles, and suspicious transaction patterns.

Core advisor compliance obligations: - Know Your Customer (KYC): Maintain current and accurate knowledge of each client's financial situation, source of funds, and business activities. - Transaction Awareness: Monitor your clients' account activity for patterns inconsistent with their known profile. - Mandatory Reporting: Report any suspicious activity to the BSA/AML Compliance Officer immediately, regardless of transaction size. - Confidentiality: Never disclose to a client that their account is under review or that a SAR has been filed.

2. High-Risk Client Management

Advisors managing High Risk Customers (HRC — risk score at or above 0.80) have heightened obligations:

2.1 Onboarding Review: Before accepting a new HRC client, the advisor must obtain approval from their branch compliance officer. A pre-approval Enhanced Due Diligence package must be submitted.

2.2 Ongoing Monitoring: Advisors must review all transactions over $5,000 for HRC clients within 48 hours. Unusual transactions must be flagged within the compliance workflow system.

2.3 Quarterly Reviews: Conduct a structured review meeting with each HRC client every quarter. Document the meeting outcome, any changes to the client's financial profile, and any suspicious indicators observed.

2.4 Network Awareness: Be aware that your HRC clients may have relationships with other high-risk individuals. A cluster of HRC clients who transact with each other represents a compounded risk that must be reported to compliance.

2.5 Critical Risk Clients (score at or above 0.90): These clients require immediate escalation to the Chief Compliance Officer. The advisor must not take any action on behalf of a critical risk client without prior written compliance approval.

3. Portfolio Concentration and Escalation

3.1 Portfolio Composition Monitoring: Advisors must be aware of the risk composition of their managed portfolio. Quarterly portfolio risk reports are generated by the compliance system and reviewed by the advisor's branch manager.

3.2 Concentration Thresholds: - If more than 25% of an advisor's clients are HRC, the advisor must submit a portfolio concentration explanation to their compliance officer within 30 days. - If more than 50% of an advisor's clients are HRC, an automatic escalation to the Head of Compliance is triggered and a portfolio restructuring plan must be submitted within 60 days. - If 100% of an advisor's clients are HRC, this constitutes a critical compliance breach requiring immediate investigation. This scenario suggests either systematic misclassification or deliberate accumulation of high-risk clients, both of which require urgent review by the Chief Compliance Officer.

3.3 New Client Acceptance: Advisors must obtain pre-approval from compliance before onboarding any client with an estimated risk score above 0.70. Advisors who already have more than 40% HRC clients require Head of Compliance approval for any new HRC client.

4. Suspicious Activity Indicators

Advisors must be familiar with the following red flags and report them to compliance immediately:

4.1 Structuring Indicators: - Client makes multiple deposits just below $10,000. - Client requests transfers to multiple parties in amounts averaging below $5,000 following a large deposit above $10,000. - Client shows knowledge of reporting thresholds or asks about cash reporting rules. - Frequent round-number transactions designed to split a larger sum.

4.2 Circular Flow Indicators: - Funds that appear to leave an account and return within a short period through intermediary accounts — for example Account A sends to B, B sends to C, C sends back to A. - Multiple clients managed by the same advisor sending funds to each other in a loop.

4.3 Unexplained Wealth: - Transaction amounts are inconsistent with the client's known income, occupation, or business activity. - The client is unable or unwilling to explain the source of large deposits. - A significant increase in account activity that is not explained by a known business event.

4.4 High-Risk Network Connections: - A client is identified as a direct counterparty to a Critical Risk client (score at or above 0.90). - A low-risk client's account suddenly shows a high volume of transactions with accounts owned by HRC clients. This is the risk contagion pattern and requires immediate review.

5. Training and Certification Requirements

5.1 Mandatory Annual Training: All advisors must complete the Annual AML Compliance Training course. Failure to complete training by the deadline results in temporary suspension of client-facing duties.

5.2 Certification: Advisors must pass the AML Certification Exam (minimum score 80%) annually. The exam covers: AML regulations, SAR filing procedures, EDD requirements, and suspicious activity recognition.

5.3 Ongoing Education: Advisors managing HRC clients must additionally complete the High-Risk Client Management module (4 hours) and the Network Risk Awareness workshop (2 hours) each year.

5.4 Breach Reporting: Advisors who become aware of compliance breaches — including those by colleagues — must report them to the compliance hotline. Failure to report known breaches is itself a compliance violation subject to disciplinary action.